October 20, 2026

To,
The National Stock Exchange of India Limited
Listing Department, Wholesale Debt Market,
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051

Dear Sir/Madam,

Sub: **Regulation 51 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015**

Pursuant to Regulation 51 read with Part B of Schedule III and other applicable provisions, if any, of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that India Ratings and Research has withdrawn its credit rating for the Non-Convertible Debentures of the Company.

The rating rationale issued by India Ratings is annexed herewith. This intimation will also be available on the website of the Company i.e. https://aseeminfra.in/.

Thanking you,

Yours faithfully,
For **Aseem Infrastructure Finance Limited**

NAVEEN ASHOKKUMAR MANGHANI
Digitally signed by NAVEEN ASHOKKUMAR MANGHANI
Date: 2026.10.20 15:58:37 +05'30'

Naveen Manghani
Company Secretary &
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Encl: as above

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Aseem Infrastructure Finance Limited
Registered Office: Hindustan Times House, 3rd Floor,
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Bandra Kurla Complex, Bandra East, Mumbai - 400051

India Ratings Affirms Aseem Infrastructure Finance's CPs at 'IND A1+'; Maintains NCDs at Rating Watch with Negative Implications and Withdraws

Oct 19, 2026 | Aseem Infrastructure Finance Limited | Non Banking Financial Company (NBFC)

India Ratings and Research (Ind-Ra) has taken the following rating actions on Aseem Infrastructure Finance Limited's (AIFL) debt instruments:

Details of Instruments

Instrument Description	Regulator of Instrument	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of Issue (INR million)	Rating Assigned along with Watch/Outlook	Rating Action
Commercial paper	RBI	-	-	Up to 365 days	20,000	IND A1+	Affirmed
Non-convertible debentures#*	Refer ISIN annexure	-	-	-	12,500	WD	Maintained on Rating Watch with Negative Implications and Withdrawn

Maintained at 'IND AA+'/Rating Watch with Negative Implications, before being withdrawn.
Details in Annexure.
*Out of INR12,500 million, INR10,500 of NCDs are getting withdrawn as the instrument were continuously rated for three years/50% of the tenure of the instrument; received no-objection certificate from 75% of the bondholders of the outstanding debt; an undertaking from the issuer that another rating is available on the security; and undertaking from the other credit rating agency that a rating is available on the security. INR1,000 million are getting withdrawn due to NCDs fully redeemed (redeemed early on 25 September 2026) and INR1,000 million are getting withdrawn due to debt no longer expected to proceed as previously envisaged.
WD - Rating Withdrawn
Ind-Ra has withdrawn the ratings assigned to the NCDs of AIFL following a request by the issuer. The agency has rated these securities continuously for three years or 50% of the tenure and have received:

1. no-objection certificate from 75% of the bondholders of the outstanding debt;
2. an undertaking from the issuer that another rating is available on the security; and
3. an undertaking from the other credit rating agency that a rating is available on the security.

This action is in accordance with Ind-Ra's Policy on Withdrawal of Ratings. The agency will no longer maintain its rating coverage.

Analytical Approach

Ind-Ra continues to take a standalone view of AIFL, while factoring in the company's financial and operational linkages with the government of India (GoI) directly and through its sponsor, Strategic Opportunities Fund (SOF), which acts through its investment manager, National Investment and Infrastructure Fund Limited (NIIFL), an investor-owned fund manager anchored by the GoI. Ind-Ra views AIFL as a dependent entity of NIIF, in line with its criteria for Rating Public Sector Entities.

Detailed Rationale of the Rating Action

AIFL's ratings, at present, is principally driven by its linkages with the GoI and its position in NIIF's institutional framework. The ratings reflect AIFL's strategic importance to the GoI as a vehicle for financing infrastructure assets. The ratings also consider comfortable capitalisation, strong asset quality, diverse fund-raising sources and liquidity position. The assets under management (AUM), with a focus on climate-aligned or green assets, continued to grow in FY26 with a leverage (debt/equity) of 4.5x. The company has demonstrated its ability to mobilise funds from diverse lenders at competitive rates during FY21-FY26.

AIFL, along with its current shareholders, entered into a definitive agreement with TPG Nicobar Pte. Ltd. (TPG Nicobar) on 6 July 2026, pursuant to which TPG Nicobar will acquire 100% ownership of AIFL from its existing shareholders – NIIF, GoI and Sumitomo Mitsui Banking Corporation. TPG Nicobar is a dedicated investment vehicle of TPG Inc and GIC, Singapore, with TPG Rise Climate Fund holding a 70.20% shareholding and GIC holding a 29.80% stake through its 100% subsidiary, Clydo Investments Pte. Ltd. TPG is a large global private investment firm, founded in 1992, with an AUM of USD306 billion as on 31 March 2026. The acquisition is likely to be concluded in the near term, with all requisite approvals having been obtained, except for the approval of the Reserve Bank of India (RBI), which is awaited. AIFL has completed the sell-down of its entire non-green credit exposure as on 30 September 2026, transitioning to a 100% green and climate infrastructure financing portfolio, as per its focus under the new ownership. The company has also disclosed that it will sell its entire stake (30.8%) in NIIF Infrastructure Finance Ltd (NIIF IFL) to NIIF Fund II/SOF for around INR17.50 billion, which will release incremental capital and augment its capital buffers.

As the acquisition is underway, the GoI and NIIF's support/linkages are currently factored into AIFL's ratings, which will not be available post-transaction closure. The affirmation of CP rating reflects the company's adequate liquidity position and a likely strengthening of liquidity buffers in the near term, following the sell down of non-green assets and the stake sale in NIIF IFL.

List of Key Rating Drivers

Strengths

- Institutional framework and ownership status
- High strategic importance of entity
- Sovereign support
- Leverage within Ind-Ra expected level
- Comfortable capitalisation
- Diversified liability profile

Weaknesses

- Moderate but steadily expanding scale of operations
- Moderate, yet improving profitability

Detailed Description of Key Rating Drivers

Institutional Framework and Ownership Status: NIIF Limited is a sovereign-linked alternatives asset manager anchored by the GoI. NIIF Limited manages around USD5 billion plus capital across its four funds – Master Fund, Private Markets Fund, SOF, and India-Japan Fund. The GoI holds 49% stake in NIIF Limited and is the sponsor of all funds managed by NIIF Limited. SOF is a growth-equity fund registered with the Securities and Exchange Board of India (SEBI) as a Category II alternative investment fund. SOF owns majority stake in AIFL. On 25 November 2020, the Union Cabinet had approved the infusion of funds up to INR60 billion in NIIF's infrastructure debt financing platform, comprising AIFL and its associate company, NIIF IFL. In March 2021, the GoI became a direct shareholder in AIFL, acquiring a 34.4% stake on a fully diluted basis through an equity infusion of INR8.1 billion. Furthermore, in March 2022, Sumitomo Mitsui Banking Corporation acquired a 10% stake in AIFL, resulting in the stakes of GoI and SOF being diluted to 30.95% and 59.05%, respectively.

AIFL benefits from a senior management team with considerable expertise and several years of experience in the infrastructure financing space. The direct GoI shareholding lends greater visibility to AIFL, which, in turn, supports the company's growth initiatives and funding profile. Ind-Ra expects the transaction of TPG Nicobar acquiring 100% ownership of AIFL to receive the requisite approvals over the near term; meanwhile, the linkages with GoI/NIIF would continue. SOF and the GoI will fully exit from AIFL upon the transaction's closure.

High Strategic Importance of Entity: The GoI, through its national infrastructure pipeline, is aggressively pursuing infrastructure developments in the country. The GoI's focus on infrastructure, the creation of NIIF, and AIFL being a part of NIIF's infrastructure debt financing platform reflect AIFL's high strategic importance. As a non-banking financial company (NBFC)-infrastructure finance company (IFC), AIFL can lend across phases of infrastructure projects, with a mix of operating, brownfield and greenfield assets. AIFL has been financing operating and near-to-completion under-construction assets. Green assets/renewables remain the key focus area with a share of 83.6% in AUM in 1QFY27 (FY26: 75.5%) followed by road projects (1QFY27: 15%; FY26: 16%). The exposure to under-construction assets was 23% of AUM in 1QFY27 (FY26: 18%), with 77% of the portfolio consisting of operational assets (82%).

Sovereign Support: AIFL is financially independent as it maintains its own accounts, and its debt/borrowings are not consolidated with those of the GoI. Although AIFL's debt liabilities are not backed by an explicit GoI guarantee or an annual budgetary allocation, the ratings benefit from consideration of support, either directly by GoI or through SOF, in case of a financial stress, given its strategic importance. AIFL will continue to borrow on the strength of its own balance sheet.

Leverage within Ind-Ra Expected Level: The AUM stood at INR176.32 billion in 1QFY27 (FY26: INR182.64 billion) following the partial sell-down of its non-green portfolio. However, the green and climate positive book has increased to INR147.66 billion in 1QFY27 (FY26: INR137.03 billion). The debt/equity ratio was 4.5x in 1QFY27 (FYE26: 4.5x). While Ind-Ra expects the AUM to remain stable in the near term, the leverage ratio is likely to improve considerably to around 2.8x in the near term, following the sale of AIFL's stake in NIIF IFL and with internal accruals, which would be supportive of its capital position

Comfortable Capitalisation: Ind-Ra expects AIFL to maintain its capitalisation higher than the regulatory requirement. The net worth increased to INR36.83 billion in 1QFY27 (FYE26: INR36.14 billion). AIFL is well capitalised. The tier 1 capital ratio increased to 17.3% in 1QFY27 (FYE26: 16.8%), due to the downsizing in loan assets. The overall capital adequacy ratio increased to 19.4% in 1QFY27 (FYE26: 18.7%), which was above the regulatory requirement of 15%.

Diversified Liability Profile: Ind-Ra notes AIFL has been able to mobilise funds from diversified sources at competitive rates. AIFL has well-established bank relationships and access to investors with borrowings across term loans, NCDs, commercial papers, external commercial borrowing and working capital demand loan. Public sector banks continue to dominate the lender composition (1QFY27: 53%; FY26: 51%), followed by domestic financial institutions (16%; 15%). Ind-Ra takes comfort from the management's articulation that short-term borrowings by way of CPs as a share of total borrowings, would be maintained at well below the board-approved limit.

Moderate but Steadily Expanding Scale of Operations: Ind-Ra notes the scale of operations would need to ramp up in a calibrated manner, while remaining mindful of credit concentration and asset quality risks given the wholesale nature of the business. The company commenced lending operations in August 2020, and its AUM expanded at a CAGR of 60.6% to INR182.64 billion over FY21-FY26. All assets were standard at end-March 2026. Asset quality remained sound with zero days past due (dpd) as of 1QFY27. Nonetheless, the large ticket-size loans inherently expose AIFL to asset quality and concentration risks. As on 30 June 2026, 60% outstanding portfolio had an external rating of 'A-' or higher. The assets are either almost entirely operational or near-to -completion projects that mitigates concentration risk.

Moderate, yet Improving Profitability: AIFL's financial performance was healthy, as evidenced by growth in pre-provision operating profit and net profit during FY22-FY26. pre-provision operating profit rose at a CAGR of 32.7% to INR4,683.3 million (FY25: INR3,452.6 million) and net profit increased 42.0% to INR3,456.7 million (INR2,618.5 million) during FY22-FY26, supported by an expanding loan book, minimal/nil credit costs, and modest operating expenditure. There was a marginal improvement in net interest margin to 2.8% in FY26 (FY25: 2.4%), notwithstanding lower average yields in an accommodative monetary policy environment. The return on average assets (RoAA) remained moderate below 2.0% during FY22-FY26 (FY26: 1.9%; FY25: 1.7%).

The company is in the process of being acquired by TPG, with the sell-down of its non-green portfolio forming a strategic part of the transaction. The sell-down, which commenced in 1QFY27, resulted in the AUM reducing to INR176.32 billion at end-June 2026 (FYE26: INR182.64 billion). In line with the transaction mandate, the planned reduction in AUM, following the sell-down of the non-green portfolio resulted in interest income growing at a slower pace of 16.8% yoy in 1QFY27, compared with a 22.9% yoy increase in interest expense. As a result, its net interest income grew at 1.2% yoy to INR1,053 million in 1QFY27 (FY26: INR4,931.9 million; 33.5% yoy). Despite minimal provisions and contingencies, the net profit remained largely flat, growing at 0.3% yoy to INR741.7 million in 1QFY27.

Liquidity

Adequate: Ind-Ra expects AIFL's liquidity position to remain comfortable in the near term. AIFL's liquidity stood at INR18,480 million, including cash and bank balance, and unencumbered investments at end-June 2026 (FYE26: INR12,287.48 million) and the company had unutilised bank lines of INR16,540 million. The agency understands that adequate liquidity buffers will be maintained such that it covers five months of fixed liabilities. With respect to the asset-liability profile, AIFL's asset book is relatively long term, and its borrowings have a tenure of one-to-10 years. There is churn on the opening book; therefore, the behavioural maturity of the loan book is much shorter (two-to-three years) than the contractual maturity due to prepayments, which also contribute to its liquidity.

In terms of asset-liability management, there was no mismatch in the one-day and up to one-year time bucket on a cumulative basis as on 30 June 2026. AIFL maintained a robust liquidity coverage of 2.4x in June 2026, which was well above 1.0x as per RBI extant guidelines. The sale of its stake in NIIF IFL and the sell down of AIFL's non-green credit exposure would increase the company's cash buffers, and thereby, strengthen its liquidity position.

Rating Sensitivities

Positive: Not applicable

Negative: The following developments, individually or collectively, could lead to a negative rating action:

- any weakening of AIFL's financial/non-financial linkages with the sponsors,
- a significant rise in the leverage, combined with heightened credit risk in AIFL's portfolio,
- inadequate liquidity surplus in the up to one-year time bucket

Any Other Information

Not applicable

ESG Issues

ESG Factors Minimally Relevant to Rating: Unless otherwise disclosed in this section, the ESG issues are credit neutral or have only a minimal credit impact on AIFL, due to either their nature or the way in which they are being managed by the entity. For more information on Ind-Ra's ESG Relevance Disclosures, please click here. For answers to frequently asked questions regarding ESG Relevance Disclosures and their impact on ratings, please click here.

About the Company

NIIF's Fund II (SOF) focuses on investing in sectors with significant growth potential, and as part of its objective, it acquired an NBFC infrastructure debt fund (NBFC-IDF), NIIF IFL and incubated AIFL. AIFL, a public limited company, was incorporated on 23 May 2019 under the provisions of the Companies Act, 2013 and is an NBFC. AIFL is registered with the RBI as an NBFC-IFC and received the licence from the central bank on 28 January 2020. The objective of the company is to undertake infrastructure financing activities.

Key Financial Indicators

Particulars (INR billion)	FY26	FY25
Total assets	201.39	166.89
#Tangible equity	35.53	32.14
PAT or net income	3.46	2.62
Return on average assets (%)	1.88	1.67
Capital adequacy ratio (%)	18.74	17.73
Equity/assets (%)	17.95	19.58

Particulars (INR billion)	FY26	FY25
Gross stage 3 assets (%)	Nil	Nil

excludes intangible and deferred tax assets
Source: AIFL, Ind-Ra

Status of Non-Cooperation with Previous Rating Agency

Not applicable

Rating History

Instrument Type	Current Rating/Outlook			Historical Rating/Outlook					
	Rating Type	Rated Limits (INR million)	Current Rating	15 July 2026	04 February 2026	05 February 2025	16 October 2024	27 August 2024	28 August 2023
Commercial paper	Short-term	20,000.00	IND A1+	IND A1+	IND A1+	IND A1+	IND A1+	-	-
Non-convertible debentures	Long-term	12,500.00	WD	IND AA+/Rating Watch with Negative Implications	IND AA+/Stable	IND AA+/Stable	IND AA+/Stable	IND AA+/Stable	IND AA+/Stable

Disclosure on instruments / activities and names of regulators:

A list of products/activities or ratings of instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by Ind-Ra on its website. A link to the same has been provided below for ready reference:

Rating Activities

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Commercial paper	Low
Non-convertible debentures	Low

For details on the complexity level of the instruments, please visit https://www.indiaratings.co.in/complexity-indicators.

Annexure

Instrument Type	ISIN	Regulator of Instrument	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of Issue (INR million)	Rating/Outlook
@NCDs	INE0AD507085	SEBI	14 July 2022	8.25	14 July 2027	2,500	WD
@NCDs	INE0AD507093	SEBI	5 September 2022	8.25	3 September2027	6,500	WD
@NCDs	INE0AD507119	SEBI	10 May 2023	8.30	10 May 2028	1,500	WD
*NCDs	INE0AD507127	SEBI	2 May2025	7.78	2 May 2030	1,000	WD
#NCDs (unutilised limits)	-	SEBI	-	-	-	1,000	WD
Total	-		-	-	-	12,500	WD

Source: NSDL; Ind-Ra

@Rated the instrument continuously for three years/50% of the tenure of the instrument; received no-objection certificate from 75% of the bondholders of the outstanding debt; an undertaking from the issuer that another rating is available on the security; and undertaking from the other credit rating agency that a rating is available on the security

*NCDs fully redeemed (redeemed early on 25 September 2026)

#Debt is no longer expected to proceed as previously envisaged

Contact

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About India Ratings

India Ratings and Research (Ind-Ra) is India's SEBI registered credit rating agency committed to providing India's credit markets accurate, timely and prospective credit opinions. Built on a foundation of independent thinking, rigorous analytics, and an open and balanced approach towards credit research, Ind-Ra has grown rapidly during the past decade, gaining significant market presence in India's fixed income market.

Ind-Ra currently maintains coverage of corporate issuers, financial institutions (including banks and insurance companies), finance companies, urban local bodies, and structured finance and project finance companies.

Headquartered in Mumbai, Ind-Ra has seven branch offices located in Ahmedabad, Bengaluru, Chennai, Gurugram, Hyderabad, Kolkata and Pune. Ind-Ra is recognised by the Securities and Exchange Board of India and the Reserve Bank of India.

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Solicitation Disclosures

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APPLICABLE CRITERIA AND POLICIES

Financial Institutions Rating Criteria

Rating of Public Sector Entities

Policy for Placing Ratings on Rating Watch

The Rating Process

Evaluating Corporate Governance

DISCLAIMER

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